1a.

change in ass & liab:							
accts receivable	**$ (75.00)**	**$ 731.00**	**$ 5,327.00**	**$ (806.00)**	**-110.26%**	**$ (4,596.00)**	**-86.28%**
inventories	**$ (1,105.00)**	**$ 2,097.00**	**$ (2,436.00)**	**$ (3,202.00)**	**-152.69%**	**$ 4,533.00**	**-186.08%**
accts payable	$ 634.00	$ (801.00)	$ (29.00)	$ 1,435.00	-179.15%	$ (772.00)	#######
accrued comp	$ (218.00)	$ (614.00)	$ (1,533.00)	$ 396.00	-64.50%	$ 919.00	-59.95%
income tax	$ (356.00)	$ (1,498.00)	$ 613.00	$ 1,142.00	-76.23%	$ (2,111.00)	-344.37%
other ass & liab	$ 2,223.00	$ (484.00)	$ (1,603.00)	$ 2,707.00	-559.30%	$ 1,119.00	-69.81%
total adjustments	$ 27,521.00	$ 9,796.00	$ 7,416.00	$ 17,725.00	180.94%	$ 2,380.00	32.09%
net cash op act	$ 8,288.00	$ 11,471.00	$ 15,433.00	$ (3,183.00)	-27.75%	$ (3,962.00)	-25.67%
cash flow inv act:							
addition to ppe	**$(23,944.00)**	**$(25,750.00)**	**$(24,844.00)**	**$ 1,806.00**	**-7.01%**	**$ (906.00)**	**3.65%**
proceed from cap	$ 1,936.00	$ 1,011.00	$ 246.00	$ 925.00	91.49%	$ 765.00	310.98%
net cash acquired	$ (82.00)	$ (13.00)	$ (681.00)	$ (69.00)	530.77%	$ 668.00	-98.09%
pur short term inv	$(37,940.00)	$(44,414.00)	$(43,647.00)	$ 6,474.00	-14.58%	$ (767.00)	1.76%
maturities & sales	$ 41,463.00	$ 44,077.00	$ 48,730.00	$ (2,614.00)	-5.93%	$ (4,653.00)	-9.55%
sales of equi inv	$ 1,047.00	$ 472.00	$ 4,961.00	$ 575.00	121.82%	$ (4,489.00)	-90.49%
proceed from dive			$ 6,579.00	$ -	#DIV/0!	$ (6,579.00)	-100.00%
other investings	$ (736.00)	$ 576.00	$ 1,575.00	$ (1,312.00)	-227.78%	$ (999.00)	-63.43%
net cash inv act	$(18,256.00)	$(24,041.00)	$(10,231.00)	$ 5,785.00	-24.06%	$ (13,810.00)	134.98%
cash flow fin act:							
insurance cost	$ 7,349.00		$ 3,945.00	$ 7,349.00	#DIV/0!	$ (3,945.00)	-100.00%
repay com. Paper	$ (7,349.00)	$ (3,944.00)		$ (3,405.00)	86.33%	$ (3,944.00)	#DIV/0!
partner contributions	$ 12,714.00	$ 1,511.00	$ 874.00	$ 11,203.00	741.43%	$ 637.00	72.88%
proceed from sales		$ 2,959.00	$ 1,032.00	$ (2,959.00)	-100.00%	$ 1,927.00	186.72%
addition to ppe	$ (1,178.00)			$ (1,178.00)	#DIV/0!	$ -	#DIV/0!
isuance on debt	$ 2,975.00	$ 11,391.00	$ 5,548.00	$ (8,416.00)	-73.88%	$ 5,843.00	105.32%
repayment of debt	$ (2,288.00)	$ (423.00)	$ (4,984.00)	$ (1,865.00)	440.90%	$ 4,561.00	-91.51%
proceed from sales	$ 987.00	$ 1,042.00	$ 977.00	$ (55.00)	-5.28%	$ 65.00	6.65%
restricted stock	$ (631.00)	$ (534.00)	$ (486.00)	$ (97.00)	18.16%	$ (48.00)	9.88%
payment of div	$ (1,599.00)	$ (3,088.00)	$ (5,997.00)	$ 1,489.00	-48.22%	$ 2,909.00	-48.51%
other financing	$ 158.00	$ (409.00)	$ (794.00)	$ 567.00	-138.63%	$ 385.00	-48.49%
net cash by fin act	$ 11,138.00	$ 8,505.00	$ 1,115.00	$ 2,633.00	30.96%	$ 7,390.00	662.78%
net inc/dec cash equi	$ 1,170.00	$ (4,065.00)	$ 6,317.00	$ 5,235.00	-128.78%	$ (10,382.00)	-164.35%
cash equi end period	$ 8,249.00	$ 7,079.00	$ 11,144.00	$ 1,170.00	16.53%	$ (4,065.00)	-36.48%

Business condition Evaluation

- **Accounts Receivable:** In the year 2024, the change became negative ($75 M), which indicates that Intel had a lot of cash tied up in unpaid customer invoices as compared to the previous year 2023, where the collection of receivables provided $731M in cash. This shift from a $731M inflow in 2023 (depicted through a positive number) to a $75M outflow in 2024 (depicted through negative number) suggests that Intel is either extending more credit to keep customers during a competitive slump or is struggling with slower collection cycles.
- **Inventories:** There was a massive swing here. In the year 2023, reducing the inventory that has been provided $2.09B in cash (selling of stocks). In 2024, inventory was a use of the cash ($1.1B), suggesting Intel's building up the stock again. The $1.1B cash outflow for inventory in 2024 is a pivot from the $2B "de-stocking" seen in 2023. This indicates Intel is bracing for new product launches (like Lunar Lake or Gaudi 3) or is facing a slowdown in sell-through, leading to stock sitting on the shelves.
- **Property Plant & Equipment:** Intel consistently spent $24 to $26 B annually, which reflects their IDM 2.0 strategy investing heavily in the manufacturing capacities

despite huge loss. The identified Investing holds the "Main Use". This confirms Intel is in a **Capital-Intensive Phase**. While most mature tech companies use cash for Financing (buybacks/dividends), Intel is behaving like a utility or infrastructure company.

Main use of cash

Year	Operating	Investing	Financing	Main Use
2024	$8,288	($18,256)	$11,138	Investing
2023	$11,471	($24,041)	$8,505	Investing
2022	$15,433	($10,231)	$1,115	Investing

Result: For the years 2022-24, the main use of cash was in investing activities as we could see the negative values which indicate the outflow of cash through which we can understand that the company is spending heavily on future-buying equipment (Capex), factories, or other companies. For Intel, this is their "IDM 2.0" strategy.

1b.

Free Cash Flow is a critical measure of financial health, representing the actual cash a company generates after accounting for the capital needed to maintain or expand its asset base.

Formula: Free Cash Flow = Operating Cash Flow – CapEx (Property Plant & Equipment)

Year	Operating cash flow	CapEx (PP&E)	Free Cash Flow
2024	$8,288	$23,944	($15,656)
2023	$11,471	$25,750	($14,279)
2022	$15,433	$24,844	($9,411)

Trend Analysis:

Period	$ difference	% difference
2024 - 2023	($1,377)	- 9.64%
2023 - 2022	($4,868)	- 51.73%

Analysis:

The trend for Intel's Free Cash Flow is significantly negative and has worsened over the three-year period.

- **2023 Analysis:** FCF dropped by over 51% compared to 2022. This was driven by a decrease in cash generated from operations (down approx. $4B) while capital spending increased.
- **2024 Analysis:** The deficit widened further by another $1.38B. Although Intel managed to slightly reduce its CapEx spending compared to 2023, the continued decline in Operating Cash Flow resulted in a record negative FCF of over $15.6B.
- **Conclusion:** Intel is in a "heavy burn" phase. The company is spending far more on building factories than it is generating from selling chips, necessitating the massive debt and partner financing seen in the financing section.

Interpretation:

The FCF Paradox: Intel's FCF is negative not only because they are spending more, but because their Operating Cash Flow (OCF) is declining.

In 2022, OCF was $15.4B. In 2024, it declined to $8.2B.

This is the most frightening indicator. It indicates that the "engine" of the company is producing less steam while the company is attempting to build a larger "ship."

The Debt Lifecycle: To fill the ($15.6B) FCF deficit in 2024, Intel is compelled to resort to Financing Activities (as evidenced in your $11.1B financing entry). This means that Intel is essentially borrowing money to purchase the machines that will (hopefully) produce money in the future.

1c.

Comparison: Free Cash Flow Margin vs Net Operating Margin

Year	Net Revenue	FCF Margin	Net operating margin
2024	$53,077	-29.50%	-22.01%
2023	$54,228	-26.33%	0.17%
2022	$63,054	-14.93%	3.70%

Insights:

- Cash gap: In 2023, Intel had a positive operating margin (0.17%), which means it was slightly profitable at the operating level. However, its FCF Margin was a staggering – 26.33%. This tells you that for every single dollar of revenue, Intel here loses 26 cents in actual cash because of its massive infrastructure in its investments.
- Deterioration: In 2024, both margins turned deeply negative, here the operating margin plummeted to 22%, but the FCF margin gets even more worse at nearly – 30%. Through which the core business is now losing money and capital requirement remain high relative to current sales.

Margin Analysis and comparison derived:

- The contrast between Net Operating Margin and FCF Margin is the strongest point of your analysis.
- The "Cash Gap" Explained: The fact that the FCF margin (-29.5%) is much worse than the Operating Margin (-22.01%) confirms that Depreciation is a "trap" in this case.
- Note: On the Income Statement, Depreciation is the cost of a factory amortized over 10-20 years. However, in the real world (Cash Flow Statement), Intel must pay for these computers today.
- The "Survival-Level Bet": A -29.5% FCF margin means that for every $100 Intel makes, they are spending $129.50 to keep the lights on and build the future. This is clearly unsustainable over the long term and is why Intel has recently engaged in such massive cost-cutting and dividend suspensions.

To conclude:

These results highlight the high-risk "turnaround" phase Intel is in. Usually, a mature company like Intel would have a positive FCF margin to pay dividends and buy back stock. A negative FCF margin of -29.5% is more typical of a high-growth startup, but at Intel's massive scale, it signifies a survival-level bet on their "Foundry" strategy. The fact that the FCF margin is consistently much lower than the Operating Margin proves that **depreciation** (a non-cash expense on the income statement) is not enough to cover the **actual cash cost** of the new equipment Intel needs to stay competitive.

Overall Summary of this Intel assignment:

To conclude the Analysis and through understanding the calculations we could summarize that, Intel is now a "Construction Site" masquerading as a "Chip Company." The financials paint a picture of a company that is living off its current cash flow to make a high-risk manufacturing play (IDM 2.0). The increasing gap between operating cash and capex indicates that the time frame for this "turnaround" is running out.

Calculations:



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